

Rules on Chinese materials to force defense procurement reform

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【メール原文】

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Rules on Chinese materials to force long-term defense procurement reform

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Short-term trajectory:

Long-term trajectory:

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President Donald Trump's administration will use its 1 January deadline to remove critical Chinese materials from US defense supply chains to pushing suppliers toward long-term diversification, if not immediate decoupling.

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The federal government will keep issuing waivers for parts made with Chinese inputs, gradually tightening approval standards and reducing waivers starting in 2028 as defense suppliers move toward compliance.

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Defense suppliers will add to reshoring momentum with help from growing domestic investment, but new mines, refineries, and magnet plants still need years, not months, to reach commercial scale.

Washington will use a 1 January deadline to force compliance in future years. The deadline is not meant to eliminate Chinese inputs on schedule. It significantly tightens waiver requirements (see: Closure of critical minerals procurement loophole will pressure defense primes , 22 July 2026) to better ensure compliance when it becomes more realistically possible later, in 2028 and beyond. It will shift the system from one that tolerates some dependence to one that expects contractors to comply. Starting this year contractors will have to show more evidence of unsuccessful sourcing efforts and credible plans to mitigate dependence on prohibited sources before receiving waivers (see graphic below), raising compliance burdens for smaller suppliers with limited procurement resources. With companies now required to detail plans to reduce reliance on China, Trump administration officials will hold them accountable to those plans.

Federal officials will keep granting waivers well beyond 2028. On 20 July, the White House directed the Defense Department to end procurement of critical minerals and magnets sourced from China, Russia, Iran, and North Korea beginning in January. But the order and existing law still let the Trump administration keep granting waivers to those requirements, because China, in particular, is a dominant supplier of many essential materials and components. The order primarily affects critical mineral inputs used throughout defense supply chains, including rare earth magnets, tungsten, tantalum, and molybdenum, which are essential for applications such as radar, propulsion, and precision munitions

that often have no alternatives fully free of Chinese materials.

US defense suppliers will not have alternatives ready within three months. The White House order cannot overcome market conditions: China still controls many minerals markets, including roughly 98% to 99% of gallium supply and a similar share of heavy rare earths. The rare earths producer MP Materials is building a magnet-making facility for the Pentagon, but it is not scheduled to open until 2028. Earlier this summer, as the State Department announced federal funding for several minerals' projects, the Pentagon was hosting private meetings about how acute a germanium shortage has become. Tungsten prices have soared nearly 600% between February 2025 and April 2026 as China has cut supply. A tungsten project partly funded by the Pentagon, Guardian Metal Resources' Pilot Mountain in Nevada, has a target production date of late 2028.

Low-tier supply chains remain the biggest implementation challenge. Even when prime contractors have visibility into direct suppliers, dependence is often concentrated much deeper in the supply chain. Most Chinese content is embedded in processed materials, magnets, electronic components, and specialty alloys sourced several tiers below prime contractors. Mapping these inputs across thousands of suppliers is a substantial, expensive undertaking, sometimes for compliance on a part that costs a few hundred dollars or less. January 2027 is a tight deadline, compounded by the government's 2025 pause of the Defense Industrial Base Mapping and Analytics Program (DIBMAP) without a formal replacement, which had sought a single authoritative record of multi-tier supplier data for major weapon systems but provided only limited visibility into lower-tier suppliers.

Domestic investment is accelerating, and defense suppliers will want more. The administration has devoted tens of billions of dollars in federal financing toward rebuilding US critical mineral supply chains. By demanding more detailed compliance plans from defense contractors, Trump administration officials are pushing them to become more of a partner in that effort, adding their own investment as several automakers and technology companies have done. Defense contractors have made strides in that area, adding specialist teams to find and expand domestic or friend-shored supply, but defense demand is smaller and more specialized than in other sectors, so economies of scale are less favorable.

The lack of sufficient mining, refining, and magnet-manufacturing capacity and talent will remain a long-term challenge. The new investment helps but does not guarantee success where such capacity has been absent in the US for years or decades. Partnerships with allies such as Japan and South Korea could help diversify processing and refining, but they are unlikely to offset the scale of Chinese capacity, and the Trump administration's diplomatic shortcomings may prevent them from taking off at all.

The September Trump-Xi meeting did not change the status quo. Until meaningful domestic capacity comes online, policymakers will continue to face a choice between maintaining reliance on Chinese supply or accepting greater disruption across the defense industrial base (see graphic below). Both sides have agreed to a two-month extension of the pause on China's export controls. While we expect the truce to be rolled forward through next year, Washington will keep using these short windows to maintain pressure on partners for concrete progress.

Nancy Wei

Analyst, Trade & Supply Chains

Wei@eurasiagroup.net

Yara Alamin

Intern, Energy & Resources

alamin.ne@eurasiagroup.net

Timothy Puko

Director, Commodities

+1 202.540.5143

Puko@eurasiagroup.net

Dominic Chiu

Senior Analyst, China & Northeast Asia

chiu@eurasiagroup.net

Brian Crandall

Academic Associate

crandall.ne@eurasiagroup.net

EG United States

unitedstates@eurasiagroup.net

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